

Table 68.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% down	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L -17%, M -15%, H -13%	L -24%, M -22%, H -21%
Pullback occurrence	66%	66%
Average time to pullback bottoms	-6% in 6 days	-10% in 6 days
Average time to pullback ends	12 days	12 days
Average decline for patterns with pullbacks	-14%	-21%
Average decline for patterns without pullbacks	-16%	-25%
Percentage price resumes trend	57%	57%
Performance with breakout day gap	-15%	-22%
Performance without breakout day gap	-14%	-22%
Average gap size	\$0.86	\$1.12

Gaps. Gaps that appear during the breakout from a triple top don't cause the stock to drop much farther than those without gaps.

Table 68.5 shows pattern size statistics.

Height. Tall patterns perform better than short ones in both bull and bear markets. I applaud their consistency.

To use this finding, measure the height of the triple top from tallest peak to lowest valley between the three peaks and divide by the price of the lowest valley. If the result is larger than the median shown in the table, then you have a tall pattern.

Width. Width isn't a good predictor of future performance, at least not as good as height. Wide patterns perform better in bull markets. I use the median width to separate wide patterns from narrow ones.